NOMURA

Global Markets Research

Shennan Circuits 002916.SZ 002916 CH

17 July 2026

EQUITY: TECHNOLOGY

Steady growth driven by PCB and IC substrate

Better product mix to underpin margin expansion

Rating Remains	**Buy**
Target price Increased from CNY 391.00	**CNY 518.00**
Closing price 16 July 2026	**CNY 364.00**
Implied upside	**+42.3%**
Market Cap (USD mn)	36,637.6
ADT (USD mn)	766.0

Action: Maintain Buy but raise TP to CNY518, implying 42.3% upside

Shennan Circuits (SCC) issued a strong 1H26 profit alert on 14 July, setting a net profit guidance of CNY2.1bn-2.3bn (+54.4%-69.1% y-y) that translates to CNY1.25-1.45bn (+44%-67% y-y or +47%-71% q-q) in 2Q26F. We think the solid 2Q26F performance was mainly driven by strong demand for AI PCB and BT-substrate, from server, switch, optical transceiver and memory customers, in our view. Moreover, we think the company has significant room to grow in the high-end product segment (i.e., ABF-substrate), driven by rising demand from domestic AI chip and memory customers. We raise FY26-28F revenue forecasts by 3.2%-10.7% to reflect stronger demand, and we raise FY26-28F earnings forecasts by 9.9%-18.7%, considering its better product mix and improved profitability from the substrate segment. We maintain our Buy rating, and raise TP to CNY518 (from CNY391), based on 43x FY27F EPS of CNY12.05 (previously 37x), in line with an FY26-28F earnings CAGR of 43%. The stock is currently trading at 30x FY27F EPS.

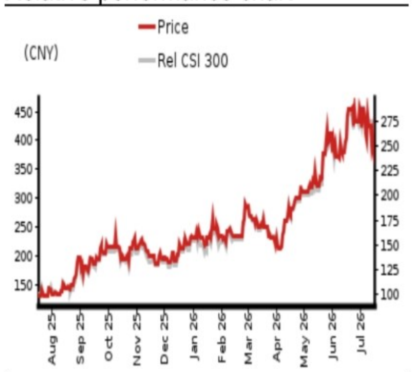
PCB: high-end optical transceivers, network switch and AI servers are key drivers and differentiate company from peers

We believe SCC is one of the key suppliers of optical transceivers in China. Its strong relationship with domestic customers will enable it to benefit from the 800G / 1.6T transceiver upgrade cycle in 2026-2027F, in our view. Besides, we think SCC has strong execution power in the AI server and switch segments, empowering it to become a key beneficiary in China's accelerated AI investment cycle. Although SCC is constrained by limited capacity, management already started new projects earlier this year (targeting to invest CNY4.6bn in Wuxi). We estimate a 40% revenue CAGR in FY26F-28F for the PCB segment, contributing 69% of total revenue in FY28F.

IC substrate: BT-substrate enjoys solid demand but pricing pressure exists, ABF-substrate still in early commercialization stage with strong potential in China

SCC's BT substrate enjoys solid demand from memory customers, which has enabled it to record higher utilization rates and margin improvement. Management notes there is potential room to raise prices due to upstream material price hikes. On ABF-substrate, the company can produce 20+ layer products, according to management, adding that it is on track to narrow its loss margin in this segment. We expect the IC substrate segment to deliver a 38% revenue CAGR over FY26F-28F, contributing 19% of total revenue in FY28F.

Relative performance chart



Source: LSEG, Nomura

Research Analysts

China Technology

Bing Duan - NIHK
bing.duan1@nomura.com
+852 2252 2141

Anne Lee, CFA - NITB
anne.lee@nomura.com
+886(2) 21769966

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	23,647	31,736	32,744	42,274	45,128	54,335	60,173
Reported net profit (mn)	3,276	4,957	5,448	7,047	8,037	9,325	11,069
Normalised net profit (mn)	3,276	4,957	5,448	7,047	8,037	9,325	11,069
FD normalised EPS	6.39	7.43	8.17	10.57	12.05	13.99	16.60
FD norm. EPS growth (%)	74.5	16.4	27.9	42.2	47.5	32.3	37.7
FD normalised P/E (x)	57.0	–	44.5	–	30.2	–	21.9
EV/EBITDA (x)	48.9	–	31.1	–	22.4	–	16.7
Price/book (x)	14.2	–	11.6	–	9.2	–	7.3
Dividend yield (%)	0.7	–	1.1	–	1.7	–	2.3
ROE (%)	20.6	26.4	28.6	31.0	34.0	33.4	37.1
Net debt/equity (%)	14.6	5.2	4.2	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Production Complete: 2026-07-17 13:49 UTC

See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Shennan Circuits

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-9.9	34.7	194.7	M cap (USDmn)	36,637.6
Absolute (USD)	-10.0	35.7	212.5	Free float (%)	35.8
Rel to CSI 300	-6.1	35.6	177.4	3-mth ADT (USDmn)	766.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	17,907	23,647	32,744	45,128	60,173
Cost of goods sold	-13,460	-16,951	-22,449	-30,334	-40,027
Gross profit	4,447	6,696	10,295	14,794	20,146
SG&A	-2,432	-3,163	-4,379	-6,036	-8,048
Employee share expense					
Operating profit	2,015	3,533	5,916	8,758	12,098
EBITDA	3,435	5,123	7,992	10,969	14,390
Depreciation	-1,420	-1,590	-2,076	-2,211	-2,292
Amortisation					
EBIT	2,015	3,533	5,916	8,758	12,098
Net interest expense	-47	-49	-84	-138	-214
Associates & JCEs					
Other income	55	139	193	266	354
Earnings before tax	2,023	3,624	6,025	8,886	12,238
Income tax	-145	-345	-574	-847	-1,166
Net profit after tax	1,879	3,279	5,451	8,039	11,072
Minority interests	-1	-3	-3	-3	-3
Other items					
Preferred dividends					
Normalised NPAT	1,878	3,276	5,448	8,037	11,069
Extraordinary items					
Reported NPAT	1,878	3,276	5,448	8,037	11,069
Dividends	-769	-1,635	-2,719	-4,011	-5,524
Transfer to reserves	1,108	1,641	2,729	4,026	5,545
Valuations and ratios					
Reported P/E (x)	99.4	57.0	44.5	30.2	21.9
Normalised P/E (x)	99.4	57.0	44.5	30.2	21.9
FD normalised P/E (x)	99.4	57.0	44.5	30.2	21.9
Dividend yield (%)	0.4	0.7	1.1	1.7	2.3
Price/cashflow (x)	62.6	48.6	36.1	26.8	20.0
Price/book (x)	12.8	14.2	11.6	9.2	7.3
EV/EBITDA (x)	72.7	48.9	31.1	22.4	16.7
EV/EBIT (x)	123.9	70.9	42.1	28.1	19.9
Gross margin (%)	24.8	28.3	31.4	32.8	33.5
EBITDA margin (%)	19.2	21.7	24.4	24.3	23.9
EBIT margin (%)	11.3	14.9	18.1	19.4	20.1
Net margin (%)	10.5	13.9	16.6	17.8	18.4
Effective tax rate (%)	7.1	9.5	9.5	9.5	9.5
Dividend payout (%)	41.0	49.9	49.9	49.9	49.9
ROE (%)	13.5	20.6	28.6	34.0	37.1
ROA (pretax %)	8.9	13.2	18.5	23.2	27.4
Growth (%)					
Revenue	32.4	32.1	38.5	37.8	33.3
EBITDA	48.7	49.1	56.0	37.3	31.2
Normalised EPS	34.3	74.5	27.9	47.5	37.7
Normalised FDEPS	34.3	74.5	27.9	47.5	37.7

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	3,435	5,123	7,992	10,969	14,390
Change in working capital	-451	-935	-873	-1,261	-1,285
Other operating cashflow	-2	-350	-390	-644	-951
Cashflow from operations	2,982	3,838	6,729	9,064	12,154
Capital expenditure	-2,526	-3,765	-3,465	-3,165	-2,865
Free cashflow	456	73	3,264	5,899	9,289
Reduction in investments	0				
Net acquisitions					
Dec in other LT assets	0				
Inc in other LT liabilities	2	109	0	0	0
Adjustments	600	-99	0	0	0
CF after investing acts	1,057	83	3,264	5,899	9,289
Cash dividends	-543	-846	-1,635	-2,719	-4,011
Equity issue	31	0	0	0	0
Debt issue	133	207	121	0	0
Convertible debt issue					
Others	22	1	0	0	0
CF from financial acts	-357	-638	-1,514	-2,719	-4,011
Net cashflow	701	-555	1,750	3,180	5,278
Beginning cash	853	1,553	998	2,748	5,928
Ending cash	1,554	998	2,748	5,928	11,206
Ending net debt	1,740	2,511	882	-2,298	-7,576

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,553	998	2,748	5,928	11,206
Marketable securities					
Accounts receivable	4,369	5,919	8,327	11,307	14,872
Inventories	3,395	5,140	6,163	9,110	11,044
Other current assets	1,537	1,597	1,597	1,597	1,597
Total current assets	10,854	13,654	18,835	27,941	38,719
LT investments					
Fixed assets	13,283	15,190	16,579	17,533	18,107
Goodwill	585	639	611	584	557
Other intangible assets	579	1,100	1,050	999	948
Other LT assets					
Total assets	25,302	30,583	37,074	47,058	58,331
Short-term debt	716	831	951	951	951
Accounts payable	6,525	9,004	11,562	16,227	20,442
Other current liabilities	248	190	190	190	190
Total current liabilities	7,489	10,024	12,703	17,368	21,583
Long-term debt	2,577	2,679	2,679	2,679	2,679
Convertible debt					
Other LT liabilities	590	699	699	699	699
Total liabilities	10,656	13,402	16,081	20,746	24,961
Minority interest	29	31	31	31	31
Preferred stock					
Common stock	513	667	667	667	667
Retained earnings	14,104	16,483	20,296	25,613	32,672
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	14,617	17,149	20,962	26,280	33,339
Total equity & liabilities	25,302	30,583	37,074	47,058	58,331
Liquidity (x)					
Current ratio	1.45	1.36	1.48	1.61	1.79
Interest cover	43.1	72.5	70.5	63.4	56.5
Leverage					
Net debt/EBITDA (x)	0.51	0.49	0.11	net cash	net cash
Net debt/equity (%)	11.9	14.6	4.2	net cash	net cash
Per share					
Reported EPS (CNY)	3.66	6.39	8.17	12.05	16.60
Norm EPS (CNY)	3.66	6.39	8.17	12.05	16.60
FD norm EPS (CNY)	3.66	6.39	8.17	12.05	16.60
BVPS (CNY)	28.50	25.72	31.44	39.42	50.00
DPS (CNY)	1.50	2.45	4.08	6.02	8.29
Activity (days)					
Days receivable	79.2	79.4	79.4	79.4	79.6
Days inventory	82.7	91.9	91.9	91.9	92.1
Days payable	162.5	167.2	167.2	167.2	167.6
Cash cycle	-0.6	4.1	4.1	4.1	4.1

Source: Company data, Nomura estimates

Company profile

Shennan Circuits Co Ltd (SCC) is one of the leading PCB (Printed Circuit Board) manufacturer headquartered in Shenzhen, Guangdong China. Main business of SCC include PCB, IC substrate, and PCB assembly.

Valuation Methodology

Our target price of CNY518.00 is based on 43x 2027F EPS of CNY12.05, in line with FY26-28F earnings CAGR of 43%. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: 1) delay in AI infra investment or slower-than-expected capacity expansion for AI PCB; 2) further sanctions on the telecom value chain companies in China by the US; and 3) intensified competition in the PCB market in China.

ESG

SCC is a leading telecom equipment producer, which shares social responsibility by offering infrastructure products for telecom network. The telecom equipment manufacturing requires land, equipment and other materials which may have impacts to environment, while factory automation may help to improve environmental scores. Corporate governance needs improvement in terms of shareholder return, etc.

Earnings forecast revisions

We raise FY26-28F revenue forecasts by 3.2%-10.7% to reflect stronger demand from both AI PCB and IC substrate markets. Thanks to better exposure to high-end AI related products, our GPM forecasts are 3.5%-11.3% higher than our previous estimates. As a result, we raise FY26-28F earnings forecasts by 9.9-18.7%.

Fig. 1: Shennan Circuits - earnings forecast revisions

(CNY mn)	2022	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	A	A	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
Turnover	13,992	13,526	17,907	23,647	32,744	45,128	60,173	31,736	42,274	54,335	3.2%	6.8%	10.7%
% chg yoy	0%	-3%	32%	32%	38%	38%	33%	34%	33%	29%			
COGS	(10,422)	(10,357)	(13,460)	(16,951)	(22,449)	(30,334)	(40,027)	(22,115)	(28,947)	(36,884)	1.5%	4.8%	8.5%
Gross Profit	3,571	3,170	4,447	6,696	10,295	14,794	20,146	9,621	13,327	17,451	7.0%	11.0%	15.4%
OPEX	(1,848)	(1,772)	(2,419)	(3,061)	(4,741)	(6,452)	(8,540)	(4,604)	(6,062)	(7,739)	3.0%	6.4%	10.4%
Operating Income	1,723	1,398	2,028	3,635	5,554	8,342	11,606	5,017	7,265	9,712	10.7%	14.8%	19.5%
% chg yoy	7%	-19%	45%	79%	53%	50%	39%	38%	45%	34%			
Pretax income	1,720	1,398	2,023	3,624	6,025	8,886	12,238	5,482	7,793	10,310	9.9%	14.0%	18.7%
% chg yoy	7%	-19%	45%	79%	66%	47%	38%	51%	42%	32%			
Tax	(80)	(1)	(145)	(345)	(574)	(847)	(1,166)	(522)	(743)	(982)			
Profit to shareholders	1,640	1,398	1,878	3,276	5,448	8,037	11,069	4,957	7,047	9,325	9.9%	14.0%	18.7%
% chg yoy	11%	-15%	34%	74%	66%	48%	38%	51%	42%	32%			
Ratio Analysis													
GPM	25.5%	23.4%	24.8%	28.3%	31.4%	32.8%	33.5%	30.3%	31.5%	32.1%	1.1pp	1.3pp	1.4pp
OPEX	13.2%	13.1%	13.5%	12.9%	14.5%	14.3%	14.2%	14.5%	14.3%	14.2%	0.0pp	0.0pp	0.0pp
OPM	12.3%	10.3%	11.3%	15.4%	17.0%	18.5%	19.3%	15.8%	17.2%	17.9%	1.2pp	1.3pp	1.4pp
NPM	11.7%	10.3%	10.5%	13.9%	16.6%	17.8%	18.4%	15.6%	16.7%	17.2%	1.0pp	1.1pp	1.2pp

Source: Company data, Nomura estimates

Fig. 2: Shennan Circuits - earnings forecast revisions for segment

(CNY mn)	2022	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue by segment	A	A	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
PCB	8,825	8,073	10,494	14,359	21,085	30,328	41,500	20,367	28,277	37,279	3.5%	7.3%	11.3%
y-y growth	*1%*	*-9%*	*30%*	*37%*	*47%*	*44%*	*37%*	42%	39%	32%			
% in total	*65%*	*62%*	*62%*	*64%*	*64%*	*67%*	*69%*	*64%*	*67%*	*69%*			
IC substrate	2,520	2,306	3,171	4,148	5,923	8,340	11,326	5,633	7,537	9,707	5.2%	10.7%	16.7%
y-y growth	*4%*	*-8%*	*37%*	*31%*	*43%*	*41%*	*36%*	36%	34%	29%			
% in total	*19%*	*18%*	*19%*	*19%*	*18%*	*18%*	*19%*	*18%*	*18%*	*18%*			
PCB assembly	1,744	2,119	2,823	3,075	3,411	3,784	4,198	3,411	3,784	4,198	0.0%	0.0%	0.0%
y-y growth	*-10%*	*21%*	*33%*	*9%*	*11%*	*11%*	*11%*	11%	11%	11%			
% in total	*13%*	*16%*	*17%*	*14%*	*10%*	*8%*	*7%*	*11%*	*9%*	*8%*			
GPM													
PCB	28.1%	26.6%	31.6%	35.5%	37.5%	38.0%	38.1%	36.5%	37.0%	37.1%	1.0pp	1.0pp	1.0pp
IC substrate	27.0%	23.9%	18.1%	22.6%	30.6%	31.6%	32.1%	28.6%	29.6%	30.1%	2.0pp	2.0pp	2.0pp
PCB assembly	13.1%	14.7%	14.4%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	0.0pp	0.0pp	0.0pp

Source: Company data, Nomura estimates

Fig. 3: Shennan Circuits - quarterly earnings forecasts

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F
	A	A	A	A	A	A	A	A	A	(NOM)	(NOM)	(NOM)
Turnover	3,961	4,360	4,728	4,858	4,783	5,671	6,301	6,893	6,596	7,585	8,723	9,841
% chg yoy	42%	34%	38%	20%	21%	30%	33%	42%	38%	87%	120%	126%
COGS	(2,963)	(3,178)	(3,528)	(3,792)	(3,600)	(4,106)	(4,323)	(4,922)	(4,672)	(5,162)	(5,980)	(6,635)
Gross Profit	998	1,182	1,201	1,066	1,183	1,564	1,978	1,971	1,924	2,423	2,743	3,206
OPEX	(590)	(515)	(675)	(639)	(656)	(583)	(915)	(907)	(981)	(1,174)	(1,176)	(1,410)
Operating Income	408	668	526	427	527	981	1,063	1,064	943	1,249	1,567	1,795
% chg yoy	94%	179%	20%	-16%	29%	47%	102%	149%	79%	144%	284%	169%
Pretax income	407	668	525	424	523	976	1,060	1,065	941	1,433	1,605	2,046
% chg yoy	95%	177%	20%	-17%	29%	46%	102%	151%	80%	181%	295%	206%
Tax	(28)	(60)	(25)	(33)	(31)	(106)	(93)	(114)	(89)	(137)	(153)	(195)
Profit to shareholders	380	608	501	390	491	869	966	950	850	1,296	1,451	1,850
% chg yoy	84%	127%	15%	-21%	29%	43%	93%	144%	73%	165%	282%	204%
Ratio Analysis												
GPM	25.2%	27.1%	25.4%	22.0%	24.7%	27.6%	31.4%	28.6%	29.2%	31.9%	31.4%	32.6%
OPEX	14.9%	11.8%	14.3%	13.2%	13.7%	10.3%	14.5%	13.2%	14.9%	15.5%	13.5%	14.3%
OPM	10.3%	15.3%	11.1%	8.8%	11.0%	17.3%	16.9%	15.4%	14.3%	16.5%	18.0%	18.2%
NPM	9.6%	13.9%	10.6%	8.0%	10.3%	15.3%	15.3%	13.8%	12.9%	17.1%	16.6%	18.8%

Source: Company data, Nomura estimates

Our FY26-28F revenue / earnings forecasts are 4-20% / 4-13% higher than WIND consensus, as we are more positive on SCC's AI exposure and margin expansion, driven by a better product mix.

Fig. 4: Shennan Circuits - Nomura vs consensus estimates

CNY mn	2025	2026F			2027F			2028F		
		(NOM)	(CON)	diff	(NOM)	(CON)	diff	(NOM)	(CON)	diff
Revenue	23,647	32,744	31,482	4%	45,128	39,945	13%	60,173	50,146	20%
Pretax Profit	3,624	6,025	5,970	1%	8,886	8,202	8%	12,238	10,842	13%
Net Profit	3,276	5,448	5,371	1%	8,037	7,471	8%	11,069	9,969	11%
EPS	4.91	8.17	7.89	4%	12.05	10.97	10%	16.60	14.64	13%

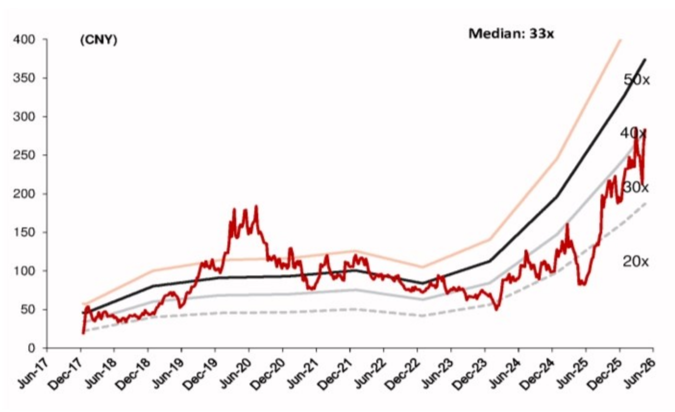
Source: Company data, WIND, Nomura estimates

Valuation and risks

Our target price of CNY518.00 is based on 43x 2027F EPS of CNY12.05, corresponding to our estimated FY26-28F earnings CAGR of 43%. The benchmark index is CSI300.

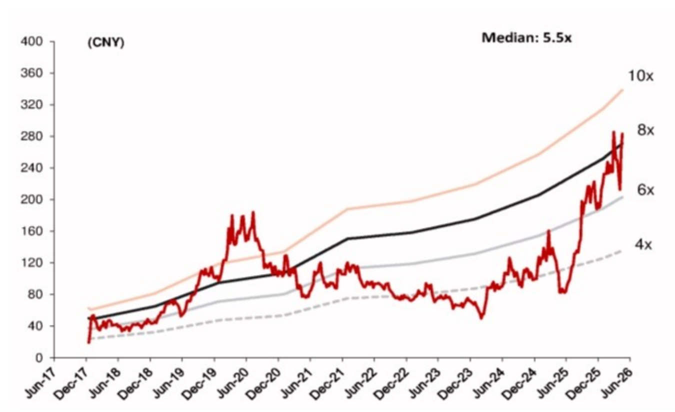
Downside risks include: 1) delay in AI infra investment or slower-than-expected capacity expansion for AI PCB; 2) further sanctions on the telecom value chain companies in China by the US; and 3) intensified competition in the PCB market in China.

Fig. 5: Shennan Circuits - 12-month forward P/E band



Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 6: Shennan Circuits - 12-month forward P/B band



Source: Company data, Bloomberg Finance L.P., Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
See Disclaimers for Nomura Group entity details.

Analyst Certification

I, Bing Duan, hereby certify (1) that the views expressed in this Research report accurately reflect my personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of my compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

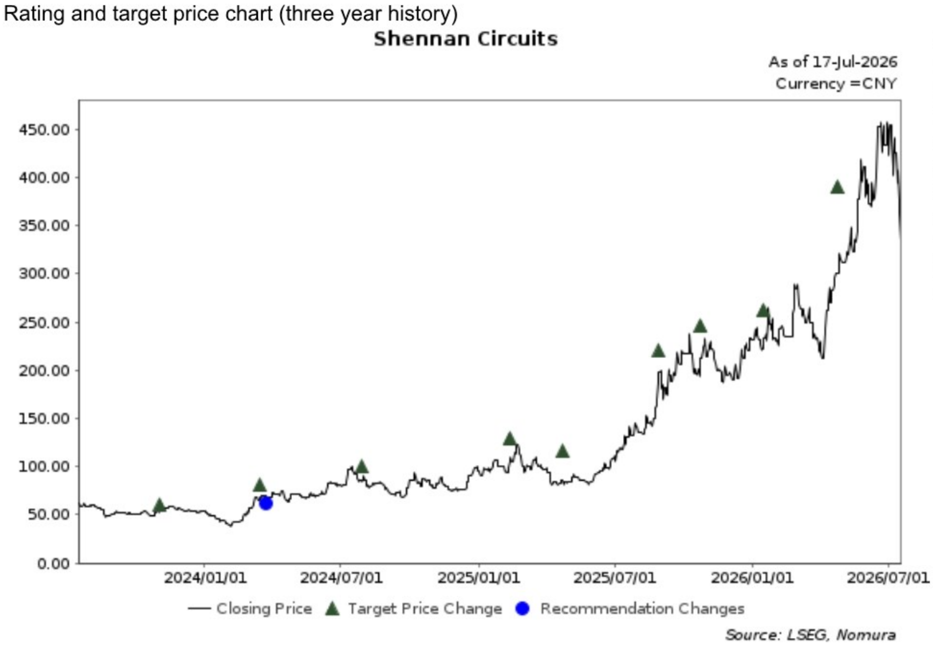
The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLC'), U. S. registered broker dealers and members of SIPC.

Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shennan Circuits	002916 CH	CNY 364.00	16-Jul-2026	Buy	N/A	

Shennan Circuits (002916 CH) **CNY 364.00 (16-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
24-Apr-26		391.00	301.36
15-Jan-26		263.00	222.50
24-Oct-25		247.00	213.08
29-Aug-25		220.00	198.00
23-Apr-25		116.15	85.15
11-Feb-25		130.00	104.48
29-Jul-24		100.00	85.71
15-Mar-24	Buy		68.40
15-Mar-24		80.77	68.40
03-Nov-23		60.77	54.35

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of CNY518.00 is based on 43x 2027F EPS of CNY12.05, in line with FY26-28F earnings CAGR of 43%. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: 1) delay in AI infra investment or slower-than-expected capacity expansion for AI PCB; 2) further sanctions on the telecom value chain companies in China by the US; and 3) intensified competition in the PCB market in China.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.
Important disclosures may be read at http://go.nomuranow.com/research/m/Disclosures or requested from Nomura Securities International, Inc.
If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:
58% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 33% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.
39% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group
3% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 15% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.
As at 30 June 2026.
**The Nomura Group as defined in the Disclaimer section at the end of this report.*
*** As defined by the EU Market Abuse Regulation*

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan:** please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: http://go.nomuranow.com/research/m/Disclosures; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan:** Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States:** S&P 500; **Europe:** Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan:** Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('NIplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at http://dis.kofia.or.kr, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura

Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: LINK

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ("NOI"), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.

Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFRC") and FTSE Russell ("Russell"). NFRC and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation.

Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.

With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.

The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.

This document has been approved for distribution in the UK as investment research by NIplc. NIplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. NIplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.

This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH ("NFPE"). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).

This document has been approved by NIHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NIHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.

This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.

This document has also been approved for distribution in Malaysia by NSM.

In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT.

Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934.

The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.

This document has not been approved for distribution to persons other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia ('Saudi Arabia') or a 'Market Counterparty' or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates ('UAE') or a 'Market Counterparty' or a 'Business Customer' (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar ('Qatar') by Nomura Saudi Arabia, NIplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' located in Saudi Arabia or a 'Market Counterparty' or a 'Professional Client' in the UAE or a 'Market Counterparty' or a 'Business Customer' in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.

For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:

THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.

This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.

An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, "Offshore Issuers") that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard.

NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.

Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:

http://go.nomuranow.com/research/m/Disclosures

Copyright © 2026 Nomura International (Hong Kong) Ltd., Hong Kong. All rights reserved.